The 6:15

SUNDAY · OCTOBER 18, 2026 NO. 26

THE BOARD

CALENDAR — NEXT 10 DAYS

Tue 10/20	Netflix Q3 earnings, after close — consensus ~$0.82–0.84 EPS, ~$12.87bn rev. **(estimate)**. Knicks open regular season vs. Philadelphia.
Wed 10/21	Tesla Q3 earnings, after close, 5:30p ET call — consensus ~$0.44 EPS, ~$27.8bn rev. **(estimate)**
Sat 10/24	Northwestern hosts Rutgers, Ryan Field
Standing	FOMC Oct. 27–28; OPEC+ next meets Nov. 1 (holding 31.01M bpd since Oct. 4); Nov. 3 midterms (Trump's no-new-Iran-strike deadline)

No frontier-AI release, rocket launch, or VC mega-round independently confirmed in the last 24–48h — fifth straight issue with nothing to put here.

METRICS — FRI 10/16 CLOSE (MARKETS SHUT THROUGH MON.)

Oil / rates / $	Brent $109.86 settle (ICE, +3.72%); WTI $99.02 (CME Dec., +2.61%); spread ~$10.84. 2Y 4.74% / 10Y 5.09% / 30Y 5.43% (Treasury.gov). DXY 101.78 (−0.06%).
Equities / vol / gold / Asia-Europe / gas	S&P 500 7,659.44 (−1.09%); Nasdaq Comp. 26,140.03 (−2.14%); VIX 19.99 (+21.45%, >22 intraday, 4-mo. high). Gold $4,181.10 (+0.26%). Nikkei +1.39%, Hang Seng +0.52%, Shanghai +0.24%, FTSE 100 +0.38%. AAA gas $4.2988/gal today.

Both oil benchmarks up sharply from issue No. 25's $105–106 / $95.21 on the Houthi-Aramco escalation. Futures quotes omitted this issue in favor of Friday's actual closes — markets are shut through Monday.

HORMUZ COUNTERS — STRAITS.LIVE, 18 OCT 10:13Z (DAY 231)

Status	"Closed" by war-risk framing; contested — Iran says closed, US says vessels transiting **(single-sourced)**
Transits	PortWatch: 2 on Oct. 11 vs. 85/day baseline (~2%) — one week staler than issue No. 25

Strikes, 24h	No running total published. IRGC claims 2 mine strikes (17 Oct, uncorroborated); tanker explosion per CGTN (18 Oct); LNG tanker attacked by skiff off al-Mukalla (UKMTO, 18 Oct); tugboat struck by 2 projectiles (18 Oct)
Dark tankers	159/276 screened dark 3–24h vs. 82.1 7-day avg. — site's own ~178 ambient-dropout estimate muddies the signal **(floor, not verified)**
War-risk / scores	~$10.0M/VLCC, ~30x pre-crisis **(stale, unchanged)**. Crisis Pressure 87±7 "extreme" (+1pt); Escalation Forecast 61±11 "high" (flat)

Transits (PortWatch, lagged), strikes (UKMTO/press, overlapping windows) and premia (periodic underwriter indications) measure different things over different periods — never averaged or differenced here.

TRANSACTIONS

Yankees	Season over; eliminated Oct. 7 [continuity]
Knicks	Preseason finished 1-4; open regular season Tue. 10/20 vs. Philadelphia
Northwestern	Beat Michigan State 24-21 Oct. 17; 5-1 overall, 2-1 Big Ten; hosts Rutgers Oct. 24

LEAD

AI CREDIT STRESS, NOT A FLIGHT TO SAFETY

A crack in AI-buildout credit drove Friday's volatility spike — and the bond market didn't buy the panic as a safety trade

Friday was the worst session for US equities since the summer: the S&P 500 fell 1.09% to 7,659.44 and the Nasdaq Composite dropped 2.14% to 26,140.03, while the VIX jumped 21.45% to 19.99 and traded above 22 intraday for the first time in roughly four months. **[NEW, fact]** The proximate cause, per CNBC and CNN reporting this week, is credit stress at CoreWeave, the AI-cloud "neocloud" that has borrowed more than $51bn to fund GPU data-center

buildouts for hyperscaler contracts: its credit-default swaps hit levels markets generally treat as distressed, and the yield to maturity on its 9.75% notes due 2031 reached roughly 15.78% — a junk-level print for a company whose equity was a market darling months ago. **[fact, secondary market coverage, not CoreWeave's own filings]** CoreWeave shares fell roughly 15.5% on Wednesday alone and as much as 25% on the week by one count (other outlets put the weekly drop closer to 15–16%, so treat the range, not a single number, as the move). **[fact/flag, sourcing varies]** The contagion was sector-wide: Nebius and IREN fell alongside CoreWeave, and Oracle and DigitalOcean — both tied to the same AI-infrastructure financing complex — dropped too. **[fact]** Gartner's Oct. 14 report had already flagged more than 100 neoclouds as exposed to a widening gap between revenue and capital spending, a mismatch Goldman Sachs analysts this week called the epicenter of a broader AI-debt funding-cost debate. **[fact, flag: figures via secondary coverage, not reviewed directly]**

The mechanism matters more than the single-day move. Neoclouds like CoreWeave financed GPU buildouts on the assumption that hyperscaler demand and cheap capital would both keep growing; AI labs and hyperscalers leaned on exactly these off-balance-sheet lessors to keep their own capex figures looking lighter. When CoreWeave's own cost of capital spikes into distressed territory, it isn't just a single-stock story — it's the market's first real stress test of whether the economics behind the AI capex supercycle hold up once credit, not just equity, has to underwrite it. **[read]** Compounding the move: a VIX break above 22 mechanically forces vol-targeting and risk-parity funds to cut equity exposure regardless of conviction, which is almost certainly part of what's behind

unconfirmed chatter (via Seeking Alpha and CoinDesk) of a hedge fund "blowout" — including one specific, single-sourced rumor that AI-focused fund VARA, founded by former BlackRock and Hudson River Trading staff, was unwinding. No credible outlet has confirmed VARA is actually liquidating, and this brief treats it as rumor, not fact. **[flag, single-sourced]**

What stands out to a rates desk: this wasn't a classic flight-to-safety panic. Treasuries didn't rally — the 10-year closed Friday at 5.09% and the 30-year at 5.43%, both still near cycle highs — while Brent jumped 3.72% to settle at $109.86 on the Houthi-Saudi-Aramco escalation (see Iran & Hormuz, below). **[fact]** A simultaneous equity selloff, a bond market that stayed cheap, and a crude spike is a stagflation-shaped combination, not a risk-off one: investors are pricing an AI-credit problem on top of hot September CPI and PPI prints (see Economics) rather than buying duration as a hedge. **[read]** Watch: whether CoreWeave's bond stress spreads into broader high-yield spreads this week, Tesla and Netflix earnings (Wed./Tue.) for AI-capex-adjacent commentary, and whether Monday's Asia open extends or reverses Friday's move.

BUSINESS

Bank of America's Q3 broke a run of beats: GAAP net income fell to $6.9bn ($0.91 diluted EPS) from $8.3bn ($1.04) a year earlier, after the bank absorbed a $1.2bn FinCEN/OCC anti-money-laundering and sanctions settlement — the third-largest such Treasury penalty on record — that cut EPS by about $0.17; adjusted EPS of $1.08 still missed a roughly $1.11 consensus. **[NEW, fact, SEC 8-K exhibit]** Revenue rose about 3% to $30.0bn, with net interest income up 8% to roughly $16.4bn. **[fact, secondary sourcing on the breakdown]**

Morgan Stanley beat: $20.3bn net revenue (vs. $18.2bn a year ago) and $3.03 diluted EPS, about 4% above consensus, helped by wealth management. **[fact]** BlackRock posted record $15.5 trillion AUM, up 15% y/y, on roughly $205bn of net inflows, with adjusted EPS of $15.93 beating a ~$14.13–14.25 estimate. **[fact/flag, inflow figure via secondary coverage]** Goldman Sachs' diluted EPS of $17.01 and Citigroup's $2.85 (vs. $2.65 consensus) — both reported Oct. 13 — round out a mixed bank-earnings week sitting awkwardly alongside the CoreWeave-driven tech selloff in the Lead. **[fact]**

ECONOMICS

September's inflation trio, all now reported (none was out as of issue No. 25's press time): headline CPI rose 0.6% m/m and 3.7% y/y, with core CPI up 0.3% m/m and 2.6% y/y — gasoline, up 9.1% seasonally adjusted, drove over half the monthly headline gain (BLS, primary). **[NEW, fact]** PPI ran hotter still: final demand up 1.3% m/m and 6.3% y/y, with energy (+10.8%) accounting for most of the goods-side increase (BLS, primary). **[NEW, fact]** September retail sales rose 0.8% m/m (0.9% ex-autos), though the GDP-relevant control group rose only 0.1%, below a ~0.3% estimate, and most of the headline gain came from gas-station receipts — consistent with higher pump prices rather than stronger real demand. **[fact, secondary aggregation of the Census release]** Initial jobless claims (week ended Oct. 10) came in at 199,000, roughly in line with estimates. **[fact, secondary]** Read: three straight energy-driven upside surprises, arriving the same week as the Brent/WTI spike in the Lead, is why Treasuries didn't rally Friday — the bond market is treating this as a supply-side inflation problem, not a demand slowdown. **[read]**

TECHNOLOGY

Rocket Lab said Oct. 14 that Neutron's debut launch has slipped to 2027, the only confirmed item in the frontier-AI/rocket/VC-funding sub-bullet's usual territory this cycle, and it's now outside the 24–48h window this brief uses for a non-scheduled item — carried here rather than on the Board. **[fact]** No frontier AI model release, Starship/New Glenn launch, or VC mega-round was independently confirmed this run; global VC activity remains elevated in aggregate (Crunchbase put Q3 global venture funding at $159bn, up 53% y/y) but no single headline deal verified in the past 24–48h. **[flag, aggregate figure only]**

GEOPOLITICS

The Saudi-Houthi air war that led issue No. 25 is still live and still escalating. Houthi forces struck Yemen's own Sanaa airport Oct. 17 as the Saudi-led coalition continued intercepting inbound fire; the US has been supporting Riyadh with intelligence, targeting help and aerial refueling but has not yet joined strikes directly, though Trump said this week he is "going to look at" doing so. **[DEVELOPING, fact]** Egypt's President El-Sisi has asked parliament to hold an emergency session on authorizing action to help defend Saudi Arabia — a new regional-escalation thread not in prior issues. **[NEW, fact, single-sourced via wire aggregation]** The Houthis' threat to widen strikes to Aramco's Dammam headquarters, first reported in issue No. 25, stands unresolved.

IRAN & HORMUZ

Beyond the Board's incident list, Iran's navy/IRGC mine claims on two tankers (Oct. 17) remain uncorroborated by any wire service in the straits.live feed — the same mine-vs-projectile dispute flagged in issue No. 25 continuing into this one, now with more claimed incidents than confirmed ones. **[flag]** On diplomacy, Araghchi's seven-day phased plan — diluting Iran's 60%-enriched stockpile in exchange for a reopened strait, with broader nuclear talks to follow — remains exactly where issue No. 25 left it: passed to Washington via intermediaries, with no confirmed US response located this run. **[flag, gap not filled from memory]** Rubio's "Iran cannot have a nuclear weapon, period" line and Vance's acknowledgment that it's "not totally clear how their country makes decisions" are the most

recent on-record US statements found, both from the Oct. 8–12 window carried forward rather than new. **[fact, continuity]**

SPORTS

Yankees	Season over; eliminated Oct. 7 in the ALDS.
Knicks	Preseason finished 1-4; open regular season Tue. 10/20 at home vs. Philadelphia.
Northwestern	Beat Michigan State 24-21 on the road Oct. 17; 5-1 overall, 2-1 Big Ten; hosts Rutgers Oct. 24.

Continuity. Politics is cut entirely this issue — the funding/shutdown thread stays retired per issue No. 25, and nothing new on the midterms surfaced this run. The CPI/PPI/retail-sales/claims and Morgan Stanley/BofA/BlackRock-earnings items flagged open in issue No. 25 are now resolved and reported above. Watch for next issue: whether Monday's Asia/Europe open extends Friday's selloff or the CoreWeave credit stress spreads into broader high-yield spreads; Netflix (Tue.) and Tesla (Wed.) earnings; any confirmation or denial of the VARA liquidation rumor; US response (if any) to Araghchi's seven-day plan; whether Egypt's parliament convenes on Saudi defense; and Saudi Arabia's still-pending "firm" response to the Houthis.

Unverified figures are marked in red: the VARA hedge-fund liquidation rumor; Iran's IRGC mine claims on two Hormuz tankers Oct. 17; CoreWeave's exact weekly stock decline (15–25% depending on source) and Gartner's 100-plus-neocloud exposure figure; BlackRock's $205bn net-inflow figure; the dark-tanker count, war-risk premium, and Crisis Pressure/Escalation Forecast scores (all straits.live, single-sourced); FOMC cut-odds readings (thin volume). Nothing was estimated or filled from memory.